fact the Finance Minister told him that they would give him leave till the end of his tenure. Talwar refused to do so and he was threatened with a charge sheet. When they could find nothing against him, the government decided to amend the SBI Act which guaranteed the Chairman of SBI protection against removal without sufficient cause.

The amended Act provided that the Chairman could be removed by the government with three months notice or three months' pay. It was also made applicable to Regional Rural Banks and the Industrial Development Bank of India. The bill became known as the 'Talwar Hatao Act' in banking circles since there was no doubt in anyone's mind that this amendment was being introduced with the single purpose of removing Talwar even though it was couched in general terms and contained other provisions as well.

Why was the government so keen to rid the bank of its greatest Chairman? Talwar's exit was the result of his inflexible stand on the financing and restructuring of a sick cement unit by the SBI. Kakodkar in his memoirs says that Jaipur Udyog, a sick cement company, which was owned and managed by Alok Jain, was a big borrower.[42] Jain approached the bank for restructuring assistance. Vaghul says that the bank, after examining the application, concluded that mismanagement was the problem and agreed to a restructuring package provided the company's promoter, who was also its Chairman and CEO made way for professional management.[43] This was a standard prescription in similar circumstances and one which was resisted by the promoters until it became impossible to manage without bank funding. Alok Jain was no different in this regard and wanted to retain control of his company. He also happened to be a friend of Sanjay Gandhi and lost no time in taking his tale of woe to him. Those were the days of the Emergency, and Sanjay then at the height of his power and influence, told the Finance Minister to look into what must have seemed to him an extremely minor matter. But then he had not reckoned with Talwar.

Subramaniam told Talwar not to insist on a change in management as a condition for providing further financial assistance.[44] Talwar studied the case and told the Finance Minister that the condition could not be waived. The Minister summoned Talwar to Delhi and told him that he had instructions from 'the highest authority' in the country.'[45] Talwar refused to budge. When Talwar's stand was communicated to Sanjay, the latter asked to meet him. Talwar refused to meet Sanjay, saying he had no constitutional